



Market Monitor

No.32 – October 2015

www.amis-outlook.org

The **Market Monitor** is a product of the [Agricultural Market Information System \(AMIS\)](http://www.amis-outlook.org). It covers the international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the ten international organizations that form the AMIS Secretariat. Ultimately, the report aims at improving market transparency and detecting emerging problems that might warrant the attention of policy makers.

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Food and Agriculture
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World Supply-Demand Outlook

Prospects continue to suggest that supplies will stay ample for AMIS commodities. This also applies to rice, despite a significant downward revision of expected production owing to the negative effects of El Niño, which will be difficult to compensate as the season advances. With export availabilities for all AMIS commodities remaining adequate, import demand will continue to be the main force driving international trade.

	From previous f'cast	From previous season
Wheat	▲	▲
Maize	▼	▼
Rice	▼	▼
Soybeans	▲	▲

▲ Easing ■ Neutral ▼ Tightening

WHEAT	million tonnes							
	USDA		IGC		FAO-AMIS			
	2014/15	2015/16	2014/15	2015/16	2014/15	2015/16		
	est.	f'cast	est.	f'cast	est.	f'cast	10-Sep	8-Oct
Production	725	732	720	727	733	728	735	
Supply	919	943	909	929	921	930	937	
Utilization	707	716	707	719	713	722	727	
Trade	165	158	153	149	156	150	150	
Ending Stocks	211	227	202	211	203	202	206	

- **Wheat** production to reach a new record in 2015 following this month's upward adjustments to production estimates in China, the EU and Kazakhstan.
- Utilization in 2015/16 raised by 5 million tonnes, largely reflecting higher feed use in the EU than expected earlier.
- Trade in 2015/16 (July/June) down sharply from the previous season, reflecting falling import demand in Morocco and several countries in Asia.
- Stocks (ending in 2016) higher than expected last month, mostly on larger builds in China and the EU.

MAIZE	million tonnes							
	USDA		IGC		FAO-AMIS			
	2014/15	2015/16	2014/15	2015/16	2014/15	2015/16		
	est.	f'cast	est.	f'cast	est.	f'cast	10-Sep	8-Oct
Production	1007	978	1005	967	1028	1011	1007	
Supply	1183	1175	1183	1170	1217	1230	1231	
Utilization	986	986	980	970	990	1007	1005	
Trade	132	123	125	125	128	125	126	
Ending Stocks	197	190	203	199	224	226	223	

- **Maize** production lowered on less buoyant expectations in the US and the EU, more than offsetting an improved outlook in Brazil.
- Utilization in 2015/16 cut slightly, now suggesting a 1.5 percent growth from 2014/15, well below the 4.5 percent registered last year.
- Trade in 2015/16 (July/June) raised somewhat from September, on higher import forecasts for a number of countries, including China and Mexico.
- Stocks (ending in 2016) forecast lower than last month, mainly on downward revisions for the US and the EU.

RICE (milled)	million tonnes							
	USDA		IGC		FAO-AMIS			
	2014/15	2015/16	2014/15	2015/16	2014/15	2015/16		
	est.	f'cast	est.	f'cast	est.	f'cast	10-Sep	8-Oct
Production	479	487	479	477	495	501	493	
Supply	586	589	591	583	665	679	663	
Utilization	484	487	484	488	494	510	500	
Trade	42.6	41.7	42.8	42.0	44.0	42.1	45.0	
Ending Stocks	102	90	106	95	170	170	164	

- **Rice** production revised down substantially on worsening prospects in Asia, especially for India and Thailand.
- Utilization in 2015/16 curtailed on lower food consumption, yielding an average per caput food intake of 55 kg in 2016.
- Trade series scaled up to take into consideration unrecorded rice flows. In 2016, a rebounding demand by traditional importing countries to sustain a partial recovery in international trade.
- Stocks (ending in 2016) lowered, on downward revisions for Cambodia, China, India, the Republic of Korea and Viet Nam.

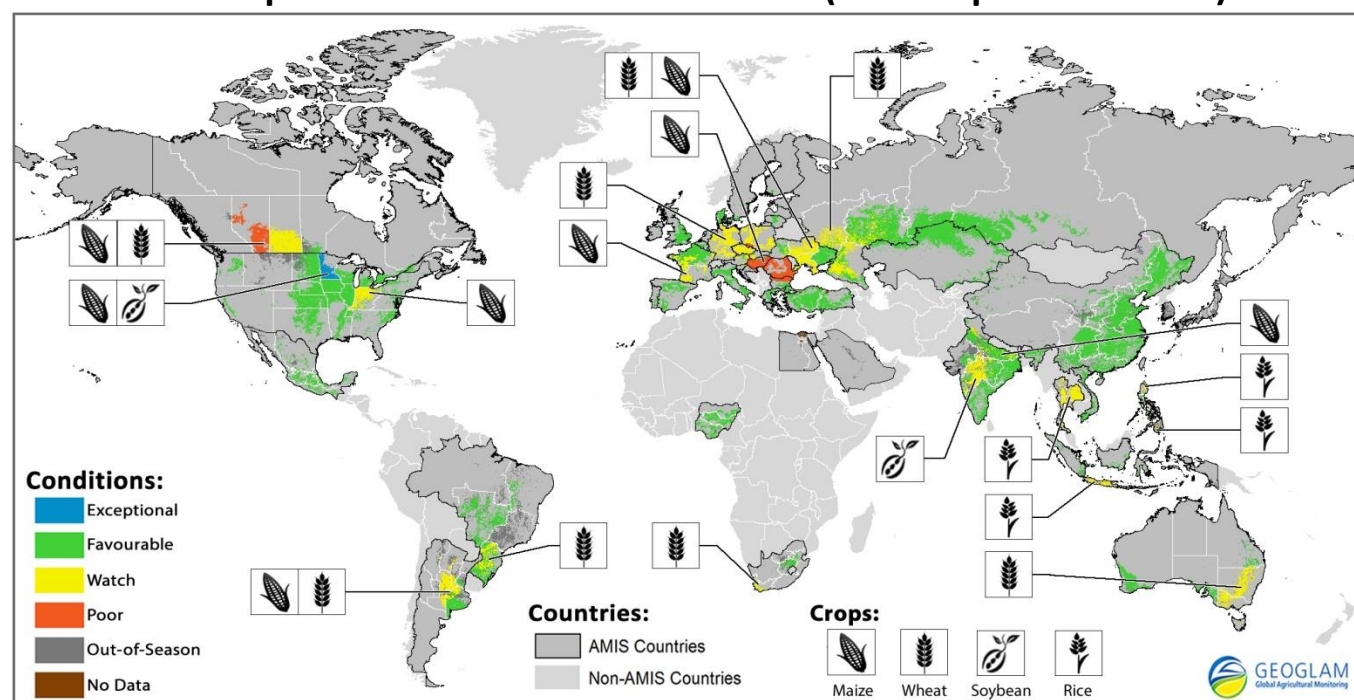
SOYBEANS	million tonnes							
	USDA		IGC		FAO-AMIS			
	2014/15	2015/16	2014/15	2015/16	2014/15	2015/16		
	est.	f'cast	est.	f'cast	est.	f'cast	10-Sep	8-Oct
Production	319	320	322	317	319	318	318	
Supply	382	398	354	364	352	366	366	
Utilization	298	310	307	315	302	317	315	
Trade	125	126	124	126	123	125	125	
Ending Stocks	79	87	47	49	48	49	52	

- **Soybean** 2015/16 production unvaried from September as less buoyant estimates for Ukraine and Brazil is mostly offset by upward revisions for the US.
- Utilization in 2015/16 to exhibit moderate growth, supported by expanding demand in Asia and South America.
- Trade forecast for 2015/16 unchanged, as an upward revision in China's imports mostly offset by a reduced forecast for the EU's purchases.
- Stocks (2015/16 carry-out) revised upwards on higher estimates for Argentina. Global inventories now projected 8 percent above the record 2014/15 level.

Estimates and forecasts may differ across sources for many reasons, including different methodologies. All changes, in absolute or percentage terms, reported in the supply/demand commentaries are calculated based on unrounded figures. For more information see the last page of this report.

Crop Monitor

Crop Conditions in AMIS countries (as of September 28th)



Crop condition map synthesizing information for all four AMIS crops as of September 28th. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Crops that are in other than favourable conditions are displayed on the map with their crop symbol.**

Highlights

Wheat - In the northern hemisphere, overall conditions are favourable as the spring wheat season draws to a close and winter wheat planting begins. For spring wheat, conditions are favourable in Kazakhstan and Russia, where as conditions are mixed in Canada. For winter wheat, conditions are mostly favourable in the US and Russia, whereas there is some concern in the EU and Ukraine. In the southern hemisphere, conditions are mixed. In Australia, conditions marginally deteriorated in most states. In Argentina, conditions are generally favourable and in Brazil and South Africa, there is some concern.

Maize - In the northern hemisphere, conditions are mixed. In the US and China, conditions are overall favourable. In the EU conditions are largely unfavorable due to a heat wave and dryness. In Ukraine there is concern over dry conditions. In India, there is some concern in northern regions due to dryness. In Mexico, Canada, the Russian Federation, and Nigeria, conditions are generally favourable. In the southern hemisphere planting has begun. In Brazil conditions are favourable and there is some concern over low soil moisture in parts of Argentina as well as in South Africa.

Rice - Conditions remain mixed though in some areas they have improved owing to recent rains. In India conditions are close to average and in Thailand, conditions remain mixed due to lack of precipitation. In China conditions are favourable. In Viet Nam, conditions improved and the wet season crops are in favourable condition. In Indonesia, the dry season crop is generally in favourable condition except in southern regions and in the Philippines, harvest of the wet season crop is almost complete and conditions are mixed.

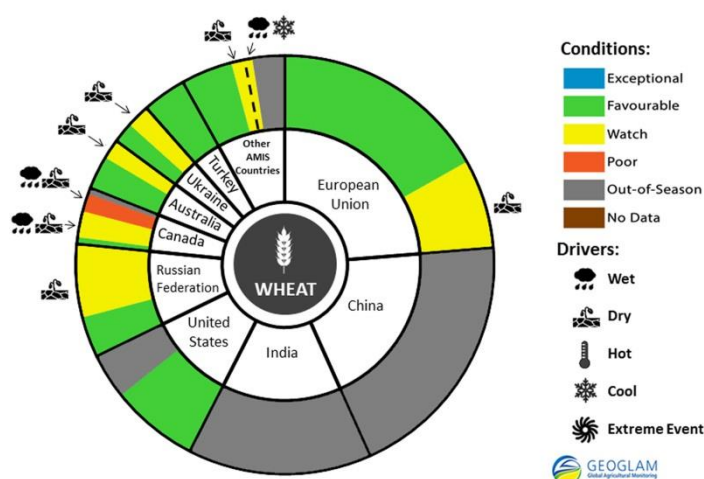
Soybeans - In the northern hemisphere, conditions remain mostly favourable as harvest begins. In the US and Canada, harvest has begun and conditions are favourable. In China, conditions are generally favourable and in India, there is concern over moisture stress. In the southern hemisphere, conditions are favourable in Brazil at this early stage of the season.

El Niño update

The current El Niño is forecast to remain in the strong category through the end of the southern hemisphere growing season and into early northern hemisphere summer 2016. This strength means that the forecast rainfall and temperature anomalies associated with the El Niño event have high probabilities of occurrence. Drier than average conditions are forecast to continue in Thailand, Viet Nam, the Philippines, and Indonesia. They are also expected to persist across Central America and in northern areas of South America. A dry growing season in Southern Africa is associated with El Niño, and in Australia, El Niño brings suppressed spring (October-December) rainfall in the eastern half of the country, and above-average temperatures in the south and the east for October-March. Wetter than average conditions are forecast for the summer growing season of southern Brazil and northeastern Argentina, and for the winter precipitation season in countries of Central-Southwest Asia (Afghanistan, Uzbekistan, Tajikistan, and Iran), building up snow pack for good irrigation in the summer of 2016. During the upcoming winter season in North America, expectations are for warmer than average temperatures across Canada and the northern US, and wetter than average conditions across the southern half of the US. If this El Niño follows similar historic patterns, it may make a transition quickly to La Niña, which will bring new patterns of anomalous rainfall and temperature, many of which are opposite to those of El Niño.

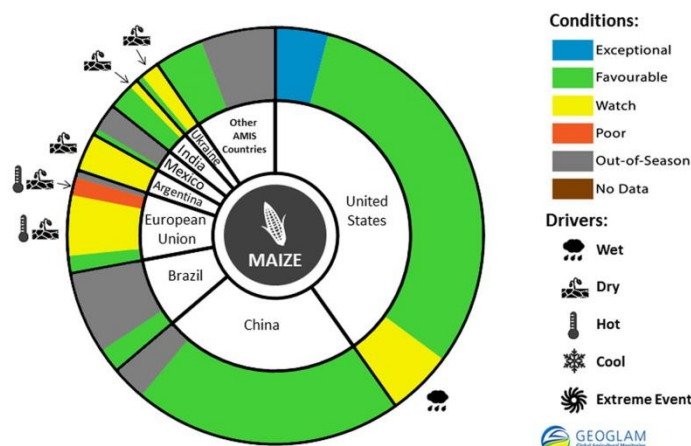
Wheat overall conditions in the *northern hemisphere* are favourable as the spring wheat season draws to a close and winter wheat planting begins. In the **US**, planting is ongoing under favourable conditions. In the **EU** planting has begun in northern regions under normal conditions and there is some concern over central regions due to dryness. In the **Russian Federation**, spring wheat harvest is wrapping up under mostly favourable conditions and winter wheat planting continues under satisfactory conditions with the exception of the southern regions where conditions are dry. In **Canada**, spring wheat harvest is underway and there is concern over earlier extreme dry conditions in western regions, which negatively impacted development. Recent rains have somewhat moderated conditions, however are delaying harvest. In **Ukraine**, winter wheat planting is ongoing and there is concern over southern and eastern regions due to dryness. In **Kazakhstan**, harvest has begun and conditions are favourable. In the *southern hemisphere*, conditions are mixed. In **Australia**, conditions marginally deteriorated in most states due to lack of September rainfall. Timely rainfall in October is critical for maintaining average yield potential. In **Argentina**, conditions are favourable in the primary production regions where soil moisture conditions improved in recent weeks. However, there is some limited concern due to dryness in Cordoba and northern growing regions. In **Brazil**, there is some concern due to the mixed weather earlier in the season (wet followed by dryness) and localized frosts in September. In **South Africa**, conditions remain mixed due to below normal rainfall in the main production region and therefore overall yields are expected to be below average.

Wheat conditions for AMIS countries as of September 28th.



For detailed description of the pie chart please see box on page 4.

Maize conditions for AMIS countries as of September 28th.



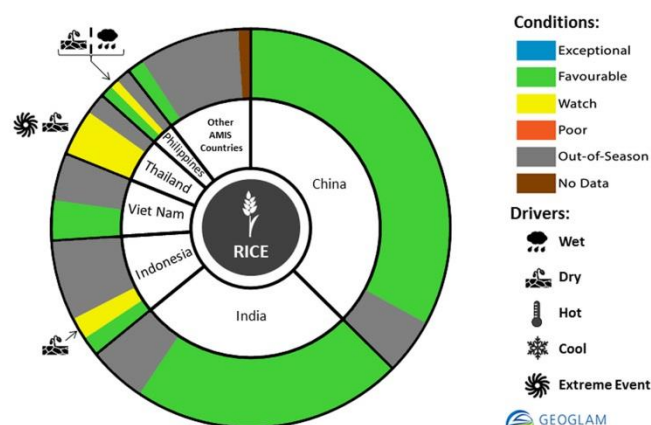
For detailed description of the pie chart please see box on page 4.

dry weather in northern regions. In **Mexico**, sowing of the spring-planted cycle is complete and, conditions are generally favourable. In **Canada**, conditions are mostly favourable and harvest is ongoing. In the **Russian Federation**, conditions are favourable. In **Nigeria**, conditions are favourable for both the main and short season crops. In the *southern hemisphere* conditions are favourable at this early stage of the season. In **Brazil**, planting of the spring-planted crop began in the south and conditions are favourable despite localized frosts in September. In **Argentina**, there is some concern due to low soil moisture, which is slowing planting in some regions. In **South Africa**, planting began and there are concerns over dry conditions in the central eastern provinces.

Maize conditions in the *northern hemisphere* are mixed as harvest begins. In the **US** harvest is underway and a good crop is materializing. Some areas, particularly around Minnesota, will likely see record yields and will offset underperforming areas in the eastern Corn Belt. Overall, production is expected to be slightly less than the last two high production years. In **China** conditions are overall favourable. In **Ukraine**, harvest is ongoing and there is concern due to persistent dryness and high temperatures in central and western regions. In the **EU** conditions are largely unfavorable and production is expected to be below the 5 year average due to the heat wave and lack of rainfall in central and eastern Europe. In **India**, conditions improved owing to significant rainfall in late September however; there is still some concern over

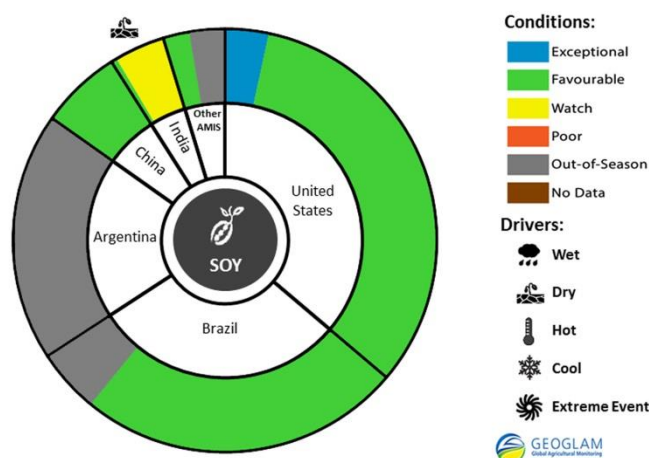
Rice conditions remain mixed in part due to the current El Niño affecting large parts of Asia, though some areas have improved owing to recent rains. In **China** conditions are generally favourable. In **India**, conditions are close to average. In **Thailand**, conditions remain mixed due to lack of precipitation and shortage of irrigation water attributed to El Niño. There are also concerns over pests in the northern and central regions and yields are expected to be down. In **Viet Nam**, the summer-autumn wet season rice conditions have improved and conditions are favourable. The autumn-winter planted wet season crop is also in generally favourable condition in the Mekong Delta. In **Indonesia**, the dry season crop is in vegetative to maturity stages. There is concern in the southern regions over dry conditions, which are expected to continue into November due to El Niño. In the **Philippines**, harvest of the wet season crop is almost complete and there is concern over heavy rainfall in the southern regions and in contrast, over dryness attributed to El Niño affecting northern regions. The dry conditions are expected to intensify in October and persist until the first quarter of 2016. In the **US**, harvest is ongoing and conditions are favourable.

Rice conditions for AMIS countries as of September 28th.



For detailed description of the pie chart please see box below.

Soy Conditions for AMIS countries as of September 28th.



For detailed description of the pie chart please see box below.

Soybeans conditions in the northern hemisphere remain mostly favourable as harvest begins. In the **US**, a very good crop is expected as conditions have been mostly favourable and consistent throughout the season. Harvest has begun and production is expected to be just under the record of last year. In **China** and **Canada**, conditions are generally favourable and harvest has begun. In **India**, conditions are mixed, as there is some concern in central growing regions due to moisture stress. In **Brazil**, planting has begun in the southern and central west regions and conditions are favourable.

Pie chart description: Each slice represents a country's share of total AMIS production (5-year average). Main producing countries (representing 90 percent of production) are shown individually, with the remaining 10 percent grouped into the "Other AMIS Countries" category. The proportion within each national slice is coloured according to the crop conditions within a specific growing area; grey indicates that the respective area is out of season. Sections within each slice are weighted by the sub-national production statistics (5-year average) of the respective country. The section within each national slice also accounts for multiple cropping seasons (i.e. spring and winter wheat). When conditions are other than 'favourable', icons are added that provide information on the key climatic drivers affecting conditions.

Sources and Disclaimers: The Crop Monitor assessment is conducted by GEOGLAM with inputs from the following partners (in alphabetical order): Argentina (Buenos Aires Grains Exchange, INTA), Asia Rice Countries (AFSIS, ASEAN+3 & Asia RICE), Australia (ABARES & CSIRO), Brazil (CONAB & INPE), Canada (AAFC), China (CAS), EU (EC JRC MARS), Indonesia (LAPAN & MOA), International (CIMMYT, FAO, IFPRI & IRRI), Japan (JAXA), Mexico (SIAP), Russian Federation (IKI), South Africa (ARC & GeoTerraImage & SANSA), Thailand (GISTDA & OAE), Ukraine (NASU-NSAU & UHMC), USA (NASA, UMD, USGS – FEWS NET, USDA (FAS, NASS)), Viet Nam (VAST & VIMHE-MARD). The findings and conclusions in this joint multi-agency report are consensual statements from the GEOGLAM experts, and do not necessarily reflect those of the individual agencies represented by these experts. Map data sources: Major crop type areas based on the IFPRI/IIASA SPAM 2005 beta release (2013), USDA/NASS 2013 CDL, 2013 AAFC Annual Crop Inventory Map, GLAM/UMD, GLAD/UMD, Australian Land Use and Management Classification (Version 7), SIAP, ARC, and JRC. Crop calendars based on GEOGLAM partner crop calendars and USDA/FAO crop calendars.

More detailed information on the GEOGLAM crop assessments is available at www.geoglam-crop-monitor.org.

For information on country coverage and criteria: <http://geoglam-crop-monitor.org/pages/about.php?target=approach>

For more information regarding the new crop monitor and pie charts: <http://geoglam-crop-monitor.org/pages/about.php?target=maps-charts>

Policy Developments

WHEAT

- In **Japan**, the price of imported wheat sold to domestic millers during Oct 2015-Mar 2016 was cut by 5.6 percent to JPY 56,640 per tonne (USD 470) from prior six-month period.
- The existing export tax on wheat in the **Russian Federation** was changed, effective from 1 October 2015. The tax is set at 50 percent of the customs price minus RUB 6,500 (USD 99) per tonne, but not less than RUB 10 per tonne (USD 0.15). The previous tax was 50 percent of total value minus RUB 5,500 (USD 84) but no less than RUB 50 (USD 0.76).

MAIZE

- **China** lowered the floor price for maize grown in North-Eastern provinces for the procurement period from 31 November 2015 - 30 Apr 2016, to CNY 2,000 (USD 313) per tonne - around 10 percent below the current price. A subsidy of CNY 70 (USD 11) per tonne will be offered for the construction of grain storage facilities.

RICE

- In **Egypt**, the Ministry of Trade and Industry cancelled a ban on rice exports and imposed an export duty of EGP 2,000 (USD 255.43) per tonne. The ruling will come into force from the date of its publication, remaining in place for six months. The publication in the official gazette was pending at the time of preparation of this report.
- **Indonesia** has allocated USD 258 million to support rice production, of which USD 103 million for procurement of rice reserves and USD 153 million for other price stabilizing measures.
- In 8 September auction from state reserves, **Thailand** sold 246,793 tonnes of rice to local buyers, equivalent to 34 percent of the full volume on offer.
- In **Viet Nam**, the minimum export price for 25 percent broken rice is to be lifted by around 3 percent, to USD 340 FOB.

BIOFUELS

- The **EU** has maintained, for a further five years and until 2020, anti-dumping duties on biodiesel imports from the **US**. This comes after the conclusion of the expiry review announced in July 2014 of anti-dumping duties on US biodiesel imports that were introduced in 2009.

ACROSS THE BOARD

- **China** announced the future launch of a nationwide investigation over the suspected illegal domestic cultivation of genetically modified crops.
- In the **US**, emergency financial aid in the form of low-interest loans will compensate farmer losses resulting from floods in Indiana. Farmers can use the loans to restore or replace property, pay bills and refinance certain debts.

International Prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Sep 2015 Average*	% Change	
		M/M	Y/Y
GOI	186	- 2.1%	- 16.8%
Wheat	170	- 0.8%	- 22.4%
Maize	176	- 1.4%	- 2.3%
Rice	150	- 2.3%	- 18.2%
Soybeans	183	- 2.8%	- 18.5%

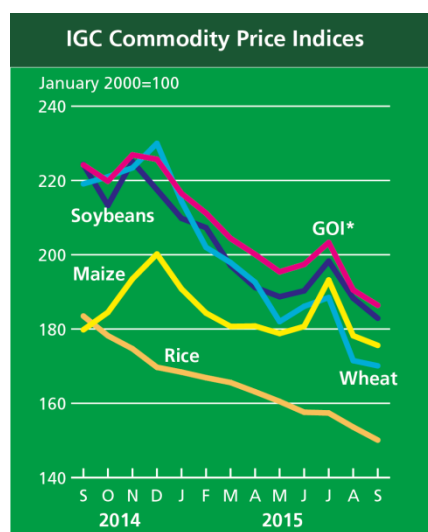
*Jan 2000=100, derived from daily export quotations

Wheat: World wheat export prices remained weak in September, pressured by heavy supplies and subdued importer buying interest. While the overall level of demand was lacklustre, competitively-priced Black Sea supplies continued to win a significant share of any business. A change to the export tax calculation was seen likely to stimulate the pace of Russian Federation's sales. Concerns about dry weather for Australia's crop as well as adverse dryness for autumn planting in the Black Sea region contributed to some price support towards the end of the month. Nevertheless, the IGC GOI wheat sub-Index fell by a net 2 percent m/m.

Maize: With weakness in Black Sea prices more than offsetting slight gains elsewhere, the IGC GOI maize sub-Index edged lower in September. Despite expectations for a smaller 2015/16 surplus in Ukraine, quotations in the Black Sea region were sharply lower on seasonal factors and as prices realigned with competing origins. US export values firmed, partly reversing some of August's heavy losses, with the market underpinned by USDA's mildly supportive supply and demand update, as well as lingering uncertainty about yield prospects. South American prices remained competitive, with US dollar denominated quotations in Brazil and Argentina broadly unchanged m/m.

Rice: Asian white and parboiled rice export prices declined further in September as the IGC GOI sub-Index dropped by 2 percent, its thirteenth consecutive monthly fall. Aside from a big purchase of broken rice by the Philippines, buying interest from key importers was largely routine and, together with ample stocks and further efforts by the Thai government to offload reserves, weighed on sentiment. In India, where the monsoon season was drawing to a close, export values were pressured by the imminent arrival of supplies from the main (kharif) outturn. Elsewhere, US milled prices rallied on prospects for a smaller crop, while currency movements pressed fob quotations lower in Brazil.

Soybeans: Reflecting continued heavy pressure from a bearish global supply and demand backdrop, the IGC GOI soybeans sub-Index fell by around 3 percent m/m. Initial worries about the impact of hot, dry conditions on US crop prospects mildly underpinned, as did talk of fresh demand following a visit to the US by a Chinese trade delegation. However, this was outweighed by pressure from large world market availabilities and lingering concerns about the outlook for trade amid signs of weakening economic growth in China. In South America, FOB values in Brazil eased as domestic currency weakness prompted an uptick in grower sales, with quotations in Argentina also lower in generally light activity.



		IGC commodity price indices				
		GOI*	Wheat	Maize	Rice	Soybeans
		(..... January 2000 = 100)				
2014	September	224.2	219.1	179.8	183.5	224.3
	October	219.8	221.0	184.5	178.2	213.3
	November	226.9	223.4	193.5	174.7	225.1
	December	225.7	230.0	200.2	169.7	217.5
2015	January	216.5	214.4	190.8	168.4	209.8
	February	211.2	202.0	184.3	166.9	207.3
	March	204.4	197.9	180.7	165.6	197.1
	April	200.1	192.6	180.8	163.1	191.2
	May	195.4	182.0	178.8	160.5	188.7
	June	197.4	186.1	180.7	157.6	190.3
	July	203.3	188.5	193.2	157.4	198.3
	August	190.5	171.5	178.2	153.6	188.3
	September	186.4	170.1	175.6	150.1	182.9

*GOI: Grains and Oilseeds Index

Futures Markets

Futures Prices - nearby

	Sep 2015 Average	% Change	
		M/M	Y/Y
Wheat	177	-3.3%	-3.3%
Maize	146	1.0%	10.7%
Rice	276	7.7%	-0.3%
Soybeans	323	-6.8%	-12.3%

Source: CME – USD per tonne

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Sep 2015	Aug 2015	Sept 2014
Wheat	27.5%	31.1%	25.7%
Maize	28.6%	35.2%	24.4%
Rice	23.2%	20.4%	15.2%
Soybeans	32.5%	33.4%	45.7%

Futures Prices

Prices for wheat and maize rose steadily during September after recovering from near term lows at the beginning of the month. Soybean prices, conversely, stayed in a narrow trading range showing a decline of 7 percent m/m. Weak export sales, despite a recent buying mission by China which purportedly signed agreements for 13 million tonnes, was cited as a bearish factor. Rice prices, however, rose for the fourth consecutive month as USDA cut US production further and projected ending global stocks for 2015/16 at 90.2 million tonnes, the lowest level since 2007/08. Exogenous factors, such as volatile markets in equities, currencies and crude oil continued to influence day-to-day pricing. Prices in the US futures for wheat and soybeans were lower y/y by 3 percent and 12 percent respectively and higher for maize by 11 percent. Rice prices, despite monthly gains, were unchanged from a year ago. In other futures markets, the Dalian futures exchange maize price fell as the authorities cut the minimum support price by 10 percent to USD 313 per tonne, the first such decrease since 2006.

Volumes and Volatility

Volumes fell sharply for wheat, maize and soybeans m/m, returning to transaction levels similar to the previous year except for soybeans which registered a 33 percent decline y/y. Historical Volatility fell m/m for all three commodities, declining from the mid-30s to upper 20s.

Forward curves

Forward curves for maize and soybeans maintained their mostly upward sloping structures (contango), reflecting ample supply projections for these crops. Wheat forward curves continue to reflect poor export outlook and a relaxation of milling basis. Unlike the July wheat which expired at an inverse over September (backwardation), September wheat expired at a normal discount to December.

Basis levels

Basis levels for maize and soybeans were posted at normal start-of-harvest levels at approximately USD 10 to USD 20 per tonne discounts to futures in the largest producing states of Iowa and Illinois. The soybean basis at the gulf export market, however, was unseasonably high at USD 33 per tonne premium to the November futures, compared to the maize basis of USD 16 per tonne premium to December maize futures. The wheat basis has lost the strength it exhibited around harvest when it rose to significant premiums to the July futures. The US Department of Transportation (DOT) forecast greater rail efficiency for the upcoming harvest season due to lighter competition from oil, gas and coal shipments and fewer maintenance issues. The DOT predicted that this greater efficiency together with an increase in storage y/y would translate into cheaper transport costs, resulting in a probable rise in domestic basis levels soon after harvest.

Investment flows

Managed money reduced its net long position in maize slightly and increased its net short position in wheat m/m. In soybeans, managed money maintained an almost neutral position. The prevailing low price level across most commodity sectors caused some analysts to declare that the current supercycle of commodities, which started about a decade ago, has come to an end.

For more information on technical terms please view the Glossary at the following link:

http://www.amis-outlook.org/fileadmin/user_upload/amis/docs/Market_monitor/Glossary.pdf

Monthly US Ethanol Update

- **Ethanol production margins** remain near break-even and down significantly from year ago levels.
- There is little over a month until the previously announced time period for the EPA to release the updated **Renewable Fuels Standard** for the current and coming year.
- The volumes announced are proposed levels for the various renewable fuel mandates but with production of maize-based ethanol exceeding domestic consumption, the impact of changes to the renewable fuel standard on overall production of ethanol from maize remains uncertain.
- **Ethanol production** in September was down from August but remained above a year ago levels.
- **Maize** costs are flat from August but DDGS prices have fallen relative to maize, suggesting weaker export demand.
- **Ethanol prices** moved slightly higher in September despite a significant decline in gasoline prices month-to-month. Oil prices rebounded somewhat in September.

Spot prices

IA, NE and IL/eastern corn belt average

Sep 2015*

Aug 2015

Sep 2014

Maize price (USD per tonne)	142.24	142.05	133.56
DDGs (USD per tonne)	150.21	161.26	128.83
Ethanol price (USD per gallon)	1.44	1.43	1.78

Nearby futures prices

CME, NYSE

Ethanol (USD per gallon)	1.49	1.45	1.77
RBOB Gasoline (USD per gallon)	1.39	1.59	2.60
Ethanol/RBOB price ratio	106.8%	91.4%	68.0%

Ethanol margins

IA, NE and IL/eastern corn belt average, USD per gallon)

Ethanol receipts	1.44	1.43	1.78
DDGs receipts	0.42	0.45	0.36
Maize costs	1.31	1.31	1.23
Other costs	0.55	0.55	0.55
Production margin	-0.01	0.02	0.36

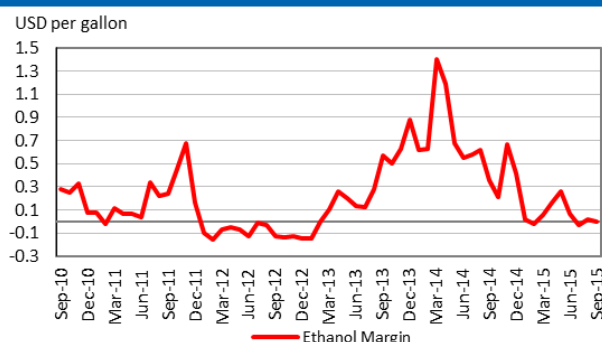
Ethanol production

(million gallons)

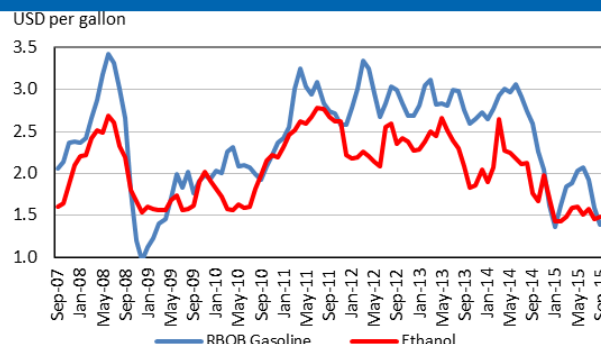
Monthly production total	1,208	1,263	1,158
Annualized production pace	14,692	14,824	14,092

Based on USDA data and private sources. * Estimated using available weekly data to date.

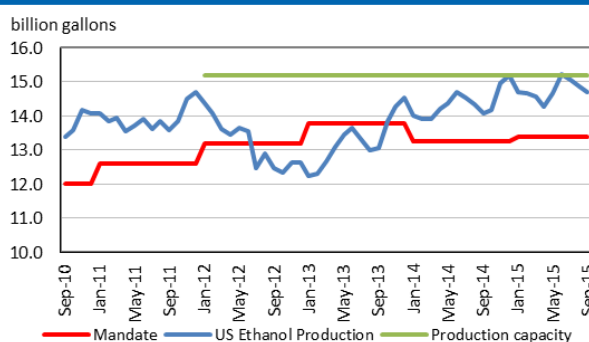
Ethanol Production Margin
(IA, NE, IL/eastern corn belt average)



Ethanol and RBOB gasoline
(nearby futures prices, CME, NYSE)



Ethanol production pace, capacity and annual mandate



Ethanol price vs. maize price
(Spot prices)

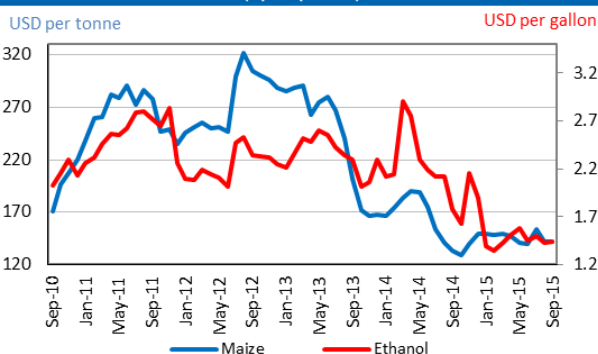


Chart and tables description:

Ethanol Production Margins: The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs

Ethanol Production Pace, Capacity and Mandate: Overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.

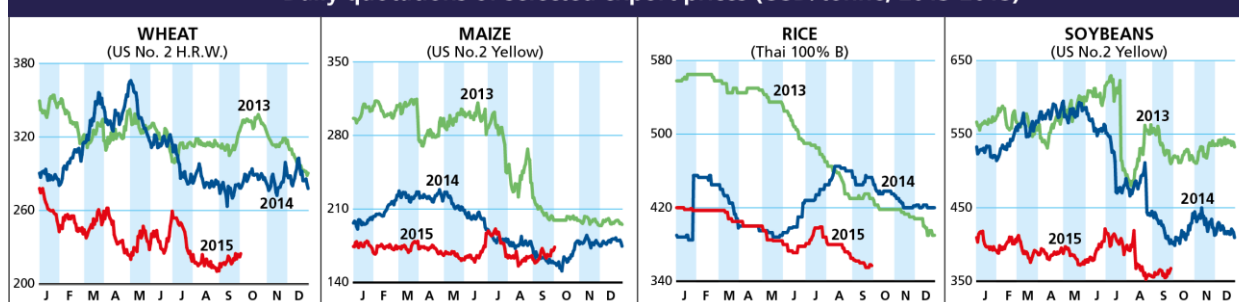
DDGs: By-product of maize-based biofuel production, commonly used as feedstuff.

RBOB: Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).

Supplementary tables and charts

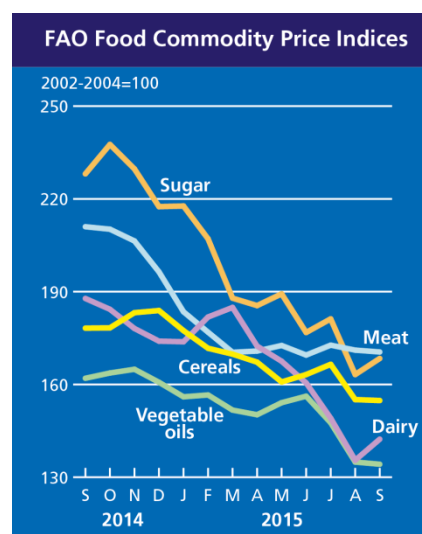
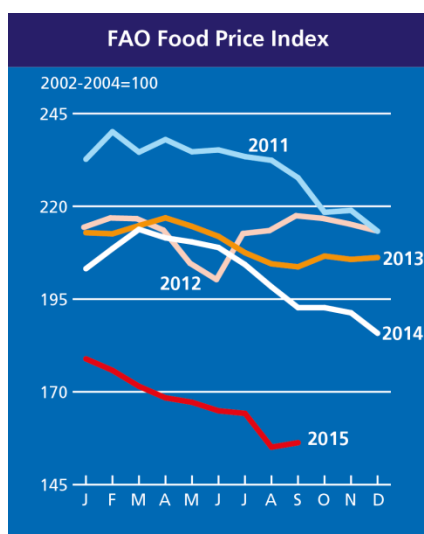
Selected Export Prices and Price Indices

Daily quotations of selected export prices (USD/tonne, 2013-2015)



Daily quotations of selected export prices

	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
(..... USD/tonne) (.....)							
Wheat (US No. 2, HRW)	05-Oct	223	223	217	285	-0.1%	-21.7%
Maize (US No. 2, Yellow)	06-Oct	177	171	159	157	3.6%	12.6%
Rice (Thai 100% B)	06-Oct	365	358	363	438	2.0%	-16.7%
Soybeans (US No.2, Yellow)	05-Oct	363	361	356	410	0.6%	-11.5%



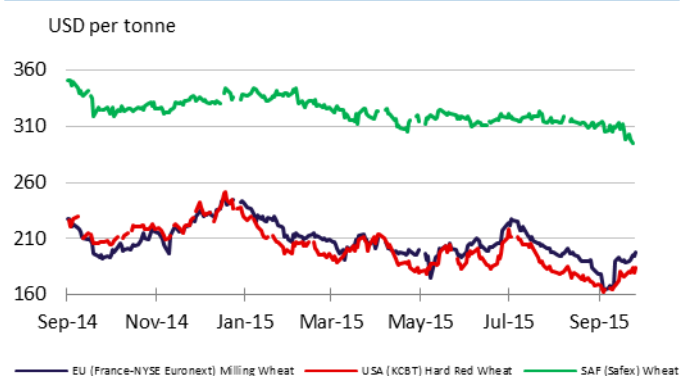
FAO food price indices

		Food Price Index	Meat	Dairy	Cereals	Oils and Fats	Sugar
(..... 2002-2004 = 100) (.....)							
2014	September	192.7	211.0	187.8	178.2	162.0	228.1
	October	192.7	210.2	184.3	178.3	163.7	237.6
	November	191.3	206.4	178.1	183.2	164.9	229.7
	December	185.8	196.4	174.0	183.9	160.7	217.5
2015	January	178.9	183.5	173.8	177.4	156.0	217.7
	February	175.8	176.9	181.8	171.7	156.6	207.1
	March	171.5	170.4	184.9	169.8	151.7	187.9
	April	168.4	170.8	172.4	167.2	150.2	185.5
	May	167.2	172.6	167.5	160.8	154.1	189.3
	June	164.9	169.5	160.5	163.2	156.2	176.8
	July	164.2	172.7	149.1	166.5	147.6	181.2
	August	155.1	171.1	135.5	155.1	134.9	163.2
	September	156.3	170.5	142.3	154.8	134.2	168.4

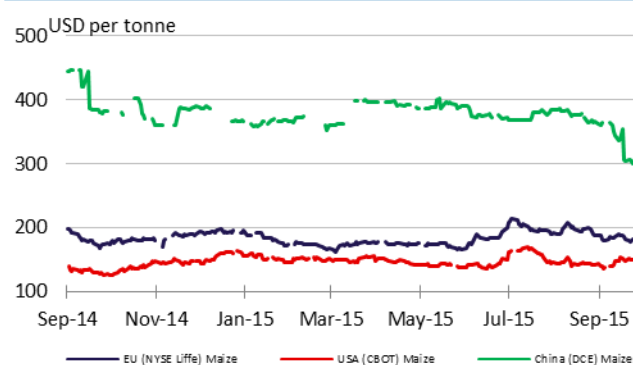
Market Indicators

Daily Quotations from Leading Exchanges - nearby futures

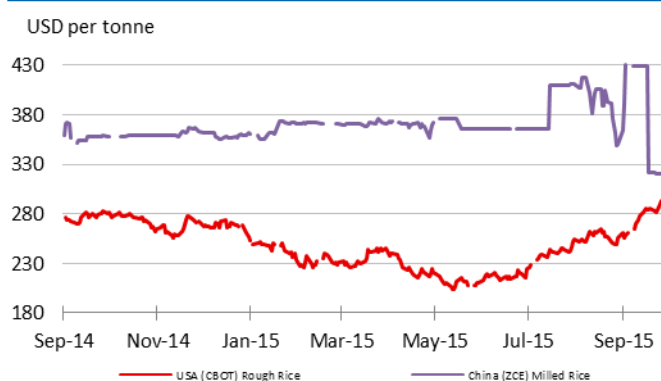
Wheat



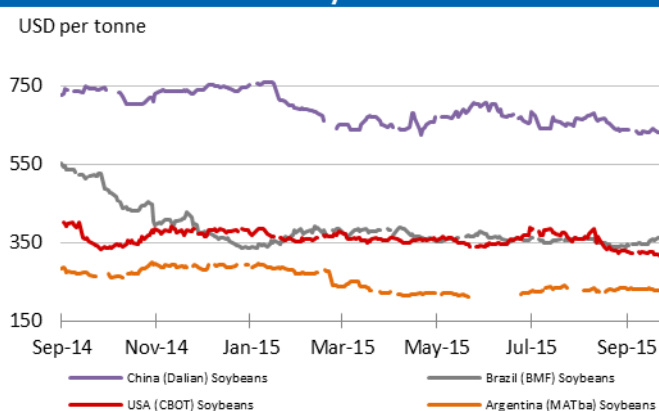
Maize



Rice

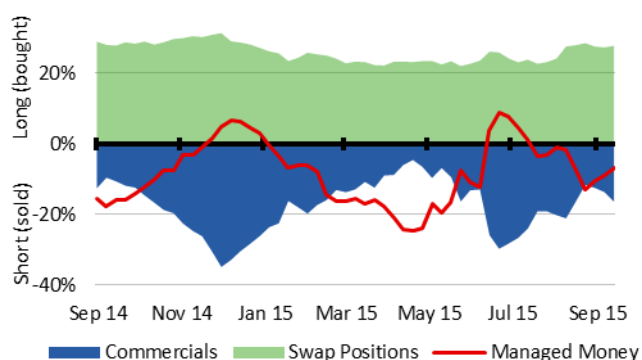


Soybeans

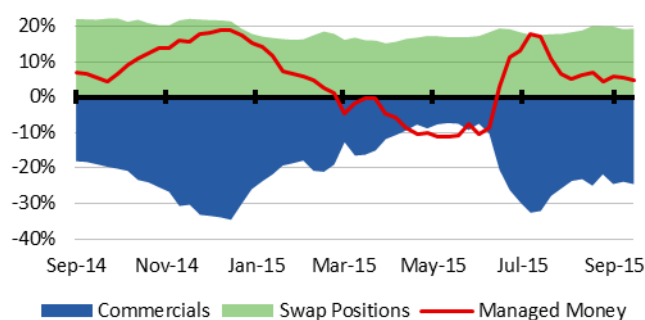


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

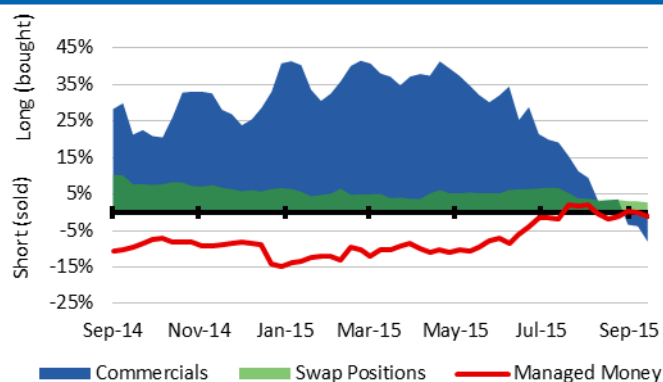
Wheat



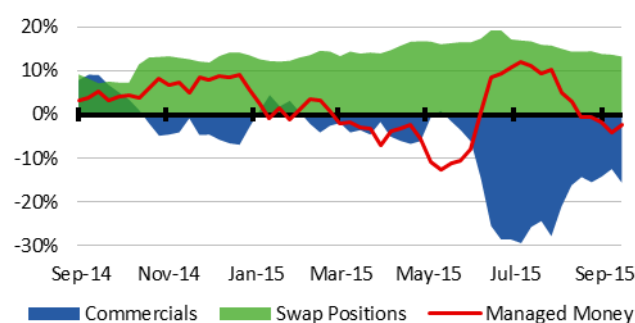
Maize



Rough Rice

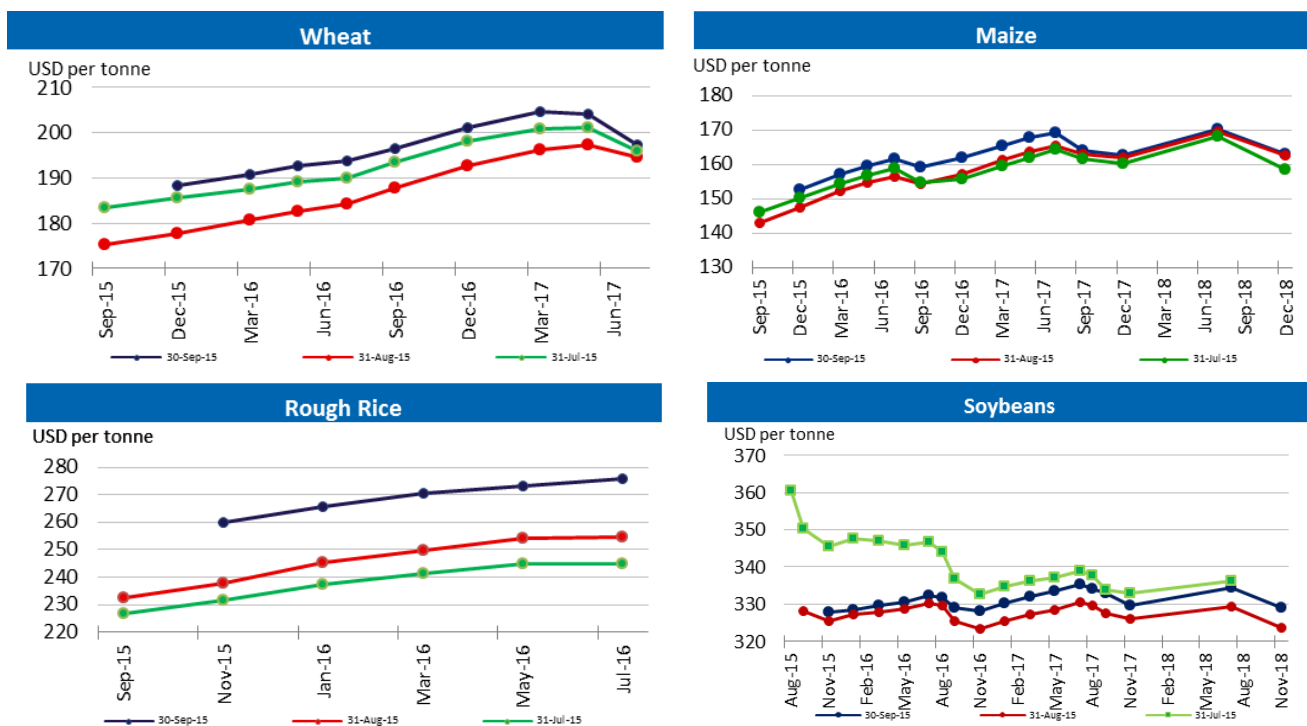


Soybeans

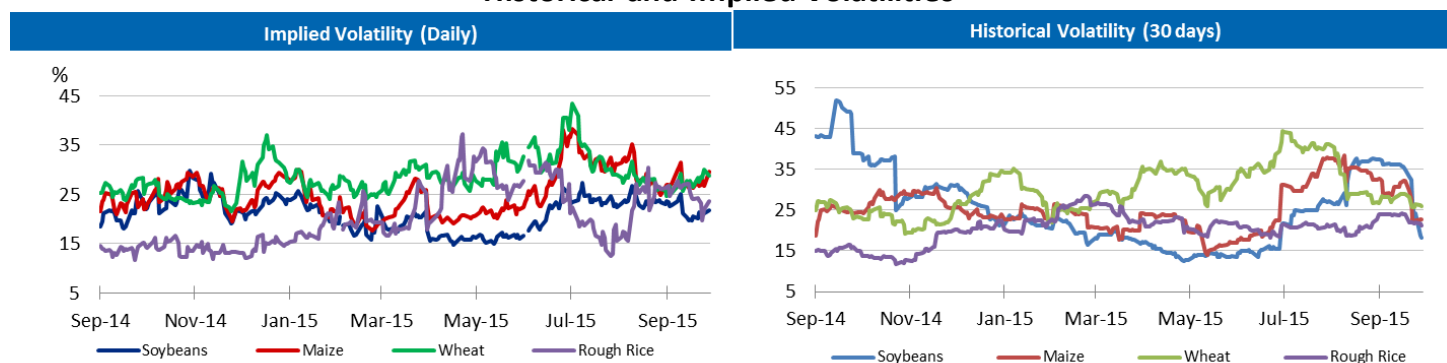


* Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



Historical and Implied Volatilities



Maize use for Ethanol in the US

Maize Use for Ethanol (excluding non-fuel) in the United States

	2006/07	2007/08	2008/09	2009/10	2010/11	2011/12	2012/13	2013/14	2014/15 est	2015/16 f'cast*
	thousand tonnes									
Maize Production	267,503	331,177	307,142	332,550	316,166	313,956	273,188	351,270	361,101	345,073
Ethanol Use	53,837	77,453	93,396	116,616	127,538	127,005	117,886	130,155	132,212	133,355
Yearly ethanol use change (%)	32%	44%	21%	25%	9.4%	-0.4%	-7.2%	10.4%	1.6%	0.9%
As Production (%)	20%	23%	30%	35%	40.3%	40.5%	43.1%	37.1%	36.6%	38.6%

Source: WASDE-USDA. *11 September 2015

AMIS Market Indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at:

<http://www.amis-outlook.org/amis-monitoring/indicators/>

Explanatory Notes and Calendar

The notions of **tightening** and **easing** used in the summary table of “**World Supply and Demand**” reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts in this report are based on the latest data published by FAO, IGC and USDA; for the former, they also take into account information received from AMIS countries (hence the notion “**FAO-AMIS**”). World estimates and forecasts may vary due to several reasons. Apart from different release dates, the three main sources may apply different methodologies to construct the elements of the balances. Specifically:

Production: For wheat, production data refer to the first year of the marketing season shown (e.g. the 2014 production is allocated to the 2014/15 marketing season). For maize and rice, FAO-AMIS production data refer to the season corresponding to the first year shown, as for wheat. However, in the case of rice, 2014 production also includes secondary crops gathered in 2015. By contrast, for rice and maize, USDA and IGC aggregate production of the northern hemisphere of the first year (e.g. 2014) with production of the southern hemisphere of the second year (2015 production) in the corresponding 2014/15 global marketing season. For soybeans, this latter method is used by all three sources.

Supply: Defined as production plus opening stocks. No major differences across sources.

Utilization: For wheat, maize and rice, utilization includes food, feed and other uses (“other uses” comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses. No major differences across sources.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. For rice, trade covers flows from January to December of the second year shown, and for soybeans from October to September. Trade between European Union member states is excluded.

Ending Stocks: In general, ending stocks refer to the sum of carry-overs at the close of each country’s national marketing year. In the case of maize and rice, in southern hemisphere countries the definition of the national marketing year is not the same across the three sources as it depends on the methodology chosen to allocate production. For Soybeans, the USDA world stock level is based on an aggregate of stock levels as of 31 August for all countries, coinciding with the end of the US marketing season. By contrast, the IGC and FAO-AMIS measure of world stocks is the sum of carry-overs at the close of each country’s national marketing year.

AMIS Crop Calendar

Largest producers*		J	F	M	A	M	J	J	A	S	O	N	D
WHEAT	EU (21%) (spring)												
	(winter)												
	China (17%) (spring)												
	(winter)												
	India (12%) (winter)												
	USA (9%) (spring)												
MAIZE	Russia (8%) (winter)												
	USA (36%)												
	China (21%) (north)												
	(south)												
	Brazil (7%) (1st crop)												
	(2nd crop)												
RICE	EU (7%)												
	Mexico (3%) (spring-summer)												
	(autumn-winter)												
	China (29%) (intermediary crop)												
	(late crop)												
	India (21%) (kharif)												
SOYBEANS	(rabi)												
	Indonesia (9%) (main Java)												
	(second Java)												
	Viet Nam (6%) (winter-spring)												
	(autumn)												
	(winter)												
SOYBEANS	USA (35%)												
	Brazil (28%)												
	Argentina (18%)												
	China (6%)												
	India (4%)												

* The percentages refer to the global share of production (average 2008-12).

Planting Harvesting

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, Inter-Continental Exchange, IGC, Reuters, USDA, US Federal Reserve, World Bank

2015 Release Dates

05 February, 05 March, 02 April, 07 May, 04 June, 09 July, 10 September, 08 October, **05 November, 03 December**

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<http://www.amis-outlook.org/amis-monitoring>